SPACEX

Investment Thesis

$15M Pre-IPO Position Evaluation
Singapore Multi-Family Office | $1.2B AUM

$1.75T	$16B	51%	6M+
IPO Valuation	2025 Revenue (est.)	Global Launch Share	Starlink Subscribers

Prepared by Kepler-C | April 2026

Kepler-C Team Introduction

Six teammates · 11 slides · full committee presentation

Aarush Kothapalli

Slide 5

Strategic Moat Evaluation

Moat scorecard, competitor benchmarking, wide-moat conclusion

Keean Kawai

Slides 2,3

Business Overview & Total Market

Business Overview Walkthrough, Revenue Streams, Market Segments

Nancy Zheng

Slides 4,11

Competitive Landscape & Investment

Competitor benchmarking, entry discipline, $15M structure proposal

Rachel Qiu

Slides 8–9

Risk Analysis

Risk matrix walkthrough, R1–R8 deep dive, mitigation factors

Rishabh Gandhi

Slides 7,10

Valuation Methodology & VC Analysis

VC Entry Analysis, SpaceX target valuation, Investor Ratings

Van Jendian

Slides 1,6

Introduction & Financial Analysis

SpaceX background, Revenue model, EV/Revenue comps, and the Scenario Valuation

Business Overview

Keean Kawai

A dual-engine platform: launch services fund the infrastructure; Starlink monetises it at scale

LAUNCH ENGINE

165 launches in 2025 — ~51% of all orbital launches globally. Falcon 9 list price $74M. ~85% US launch share.

↓

CLOSED-LOOP FLYWHEEL

↓

STARLINK ENGINE

10M+ subscribers · 150+ countries · 10,020 satellites
$11.4B revenue (2025) · 63% EBITDA margin

Internal launch demand keeps utilisation high →
Launch cost advantage accelerates Starlink deployment

FIVE REVENUE STREAMS

Commercial Launch **$74M / flight**

165 Falcon 9 launches in 2025. Reusable boosters drive ~77% est. gross margin. F9 booster B1067: 34 flights.

Starlink Consumer & Enterprise **$11.4B (2025)**

10M+ subs @ ~$120/mo (US) to ~$30/mo (emerging markets). YoY growth: +50%. 1M new subs in 53 days (Dec 2025–Feb 2026).

Mobility (Aviation & Maritime) **$1.94B est. Maritime alone**

2,500+ aircraft under contract: United, Lufthansa, Southwest, Hawaiian, Air Canada. Royal Caribbean fleetwide. ARPU: $5K–$34K/mo (maritime).

National Security (Starshield) **~$3.2B est. by 2026**

NRO $1.8B classified contract · NSSL Ph.3 Lane 2 $5.9B ceiling · pLEO IDIQ $13B ceiling · 97% of USSF task orders awarded.

Civil Space (NASA) **~$1.1B / yr est.**

Commercial Crew: $4.93B / 14 ISS missions through 2030. HLS (Artemis III/IV): $4.5B total. Dragon Cargo (CRS-2).

Revenue est. from Reuters (Jan 2026), The Information (Apr 2025), Quilty Space · SpaceX is private; figures not audited

Total Addressable Market

Keean Kawai

SpaceX participates in four verified segments — combined $100B+ addressable market by 2030, growing toward $1T+ total space economy by 2032

SAT Satellite Broadband

$33.4B by 2030

18.1% CAGR

SpaceX Position

Dominant LEO position
~65% of all active sats

Was incorrectly shown as $1.6T — corrected to $14.6B (2025) → $33.4B (2030)

LCH Commercial Launch

$41.3B by 2030

14.6% CAGR

SpaceX Position

>60% global share
~85% of US launches

Source: Grand View Research

DEF National Security

$5.9B NSSL ceiling

Contracted FY25–29

SpaceX Position

97% of USSF task orders
Starshield ~$3.2B est. 2026

Corrected from $13.5B total pool → $5.9B is SpaceX-specific ceiling

DTC Direct-to-Cell

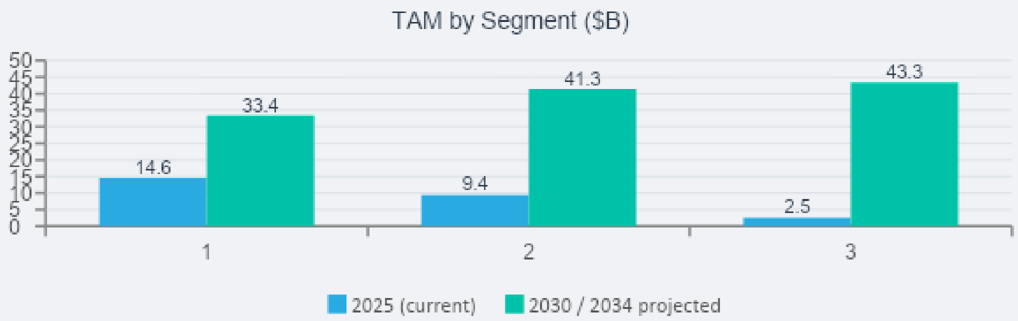
$43.3B by 2034

32.7% CAGR

SpaceX Position

650+ DTC satellites live
T-Mobile, KDDI, Optus...

Still pre-scale revenue in 2025–26; treat as embedded option within Starlink



MACRO BACKDROP

$613B

Global space economy in 2024
+7.8% YoY · 78% commercial

$1T+

Projected by 2032
(Space Foundation)

Sources: MarketsandMarkets · Grand View Research · Allied Market Research · Space Foundation Q2 2025 · US Space Force / Quilty Space · Morgan Stanley

Competitive Landscape

Nancy Zheng

Company	Category	Launch Share	Constellation	Revenue (est.)	Key Threat
SpaceX	**Integrated Platform**	**~51% global**	**7,800+ sats**	**$15–16B**	**—**
Amazon Kuiper	LEO Broadband	Minimal (own)	200+ sats (2026)	Parent $638B	Cloud + enterprise bundle
ULA	Gov't Launch	~20% NSSL	None	n.d.	Mission-assurance niches
Blue Origin	Heavy Lift	Nascent	None	n.d.	New Glenn heavy-lift optionality
Rocket Lab	Small Launch	~3%	Systems only	$602M	Emerging sub-scale challenger
Eutelsat / OneWeb	Sovereign LEO	Minimal	648 sats	~€1.6B	Government / sovereign channels

n.d. = not disclosed | No rival matches SpaceX on combined launch cadence + monetized LEO network

Strategic Moat Evaluation

Aarush Kothapalli

Overall Rating: WIDE — strongest where launch, satellites & network reinforce each other

Primary discount factor: governance & regulatory resilience significantly lag economic moat strength

Financial Analysis

Van Jendian

$15–16B
2025 Revenue (est.)

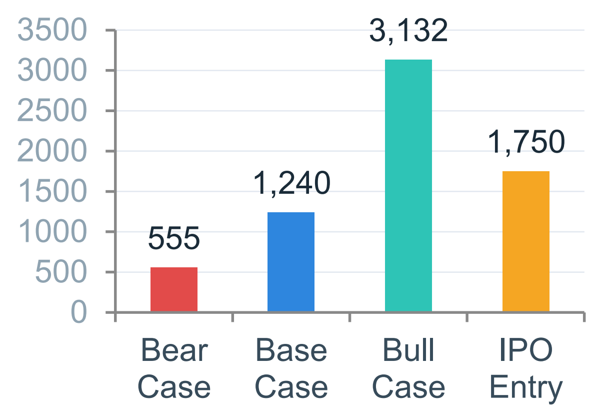
$8B
EBITDA (est.)

~50%
EBITDA Margin

$11.4B
Starlink Revenue

63%
Starlink EBITDA Mg.

Scenario Valuation Summary



EV / Revenue Comparables

Multipliers	6.2	28.2	50.3	57.3	66.3
Implied Entry EV (in billions)	$ 99,200,000	$ 451,200,000	$ 804,800,000	$ 916,800,000	$ 1,060,800,000
Return (in percentages)	1664%	288%	118%	91%	65%

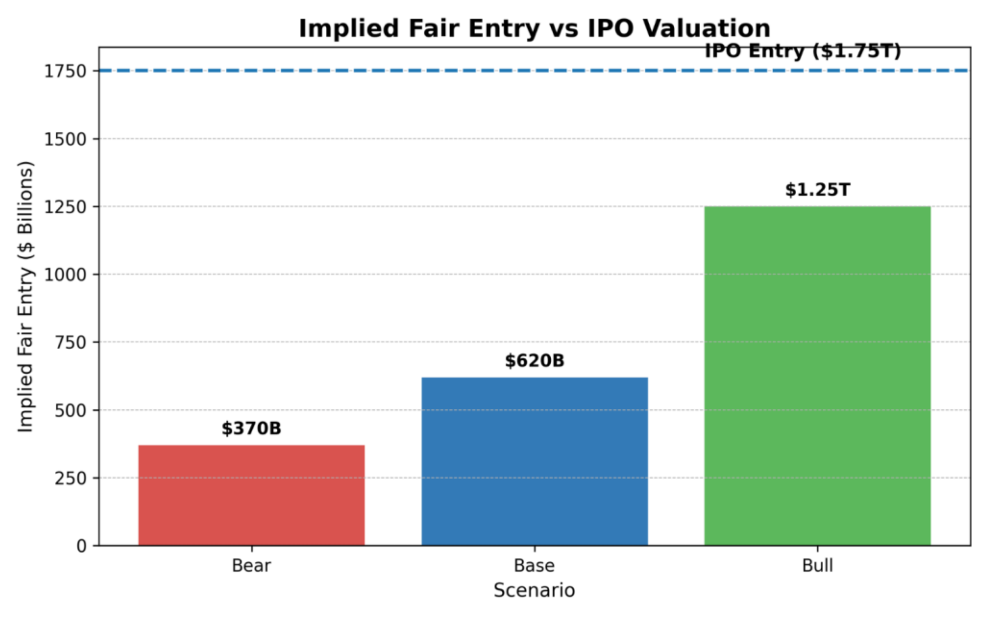
Valuation Methodology & VC Entry Analysis

Rishabh Gandhi

Valuation Framework
Starlink revenue = Subscribers × ARPU × 12
Launch = stable secondary revenue stream
Scenario-based EV/Revenue (25x - 60x) applied

Return Profile
Bear case: **0.32x** → capital loss
Base case: **0.71x** → subscale return
Bull case: **1.79x** → below target return (2.0x)

Pricing vs Intrinsic Value
IPO valuation: **$1.75T**
Base-case value: **$1.24T (–29%)**
Bull-case fair entry: **$1.25T (–28%)**



Case	Exit Valuation	Target Return	Implied Fair Entry	Return @ $1.75T
Bear	$555B	1.5x	$370B	0.32x (loss)
Base	$1.24T	2.0x	$620B	0.71x (loss)
Bull	$3.13T	2.5x	$1.25T	1.79x (below target)

IPO entry of $1.75T exceeds all fair-entry thresholds — lower implied multiples produce higher investor returns

Rachel Qiu

Risk Matrix

Likelihood × Impact — 16 risk factors mapped | TEAMMATE 5

	Rare	Unlikely	Possible	Likely
Critical	R15	R8	R3	R1
High	R16	R14	R6	R2
Moderate			R13	R12
Low				

- R1 Musk key-person
- R2 xAI cash burn
- R3 Multiple compression
- R6 Starship delays
- R8 Space debris

Key Risk Deep Dive

Rachel Qiu

Risk	Mitigant
CRITICAL **R1 Musk Key-Person Risk** Dual-class 10:1 Class B shares give unilateral control with no succession mechanism. Concurrently leads SpaceX, xAI, Tesla, and DOGE.	Mitigant: Businesses diversified across launch, broadband, and defense — less fragile than single-line contractor
CRITICAL **R3 Valuation / Multiple Compression** $1.75T implies ~109× P/S on $16B 2025 revenue. No public market comparable. Bear and base-case exits return <1.0× on IPO entry.	Mitigant: Bear case still >$550B — catastrophic total-loss scenario is not the base risk, compression is
HIGH **R2 xAI Cash Burn Import** Post-merger, xAI's $9.5B burn (3Q 2025) on $210M revenue creates structural cross-subsidy absorbed by IPO investors.	Mitigant: Starlink EBITDA ($8B+) provides buffer, but investor dilution from continued xAI losses is real
HIGH **R8 Space Debris & Collision Risk** 7,800+ satellites in orbit; fleet density growth raises Kessler cascade probability and regulatory scrutiny over the investment horizon.	Mitigant: SpaceX maintains best-in-class deorbit compliance record; operational leadership is a regulatory asset

Rishabh Gandhi

HOLD / PASS

AT $1.75T IPO PRICING

The business is exceptional. The price is not.

Conditions to upgrade to BUY

1. Secondary / pre-IPO access at **≤$1.25T** (bull fair entry)
2. Post-lockup re-rating to **≤$1.0–1.2T**
3. xAI losses capped / structurally ring-fenced from SpaceX
4. Governance improvement: independent board, succession plan disclosed

Investment View

Strong Business
- Wide moat: launch + Starlink integration
- Dominant LEO broadband position
- Large and expanding TAM

Key Risks
- Governance concentration (Musk control)
- xAI capital allocation / dilution risk
- Multiple compression at scale

Valuation Disconnect
- IPO: **$1.75T**
- Base value: **$1.24T (–29%)**
- Returns: **<1.0x** in bear/base scenarios

Overall moat: WIDE · Economic moat: strong · Governance moat: weak · Entry price: unattractive

$15M Investment Structure Proposal

Nancy Zheng

1 Tranche the position — do not deploy $15M at IPO

Structure

Deploy $5–7M at IPO open. Reserve $8–10M for 90–180 day post-lockup window where early-investor selling historically compresses multiples toward base case.

2 Pursue secondary / pre-IPO access immediately ★ Preferred

Priority

VC fair entry at bull-case is $1.25T. Pre-IPO secondary at $800B–$1.0T is structurally superior. Engage Forge Global, Nasdaq Private Market now.

3 Set governance trigger for IC review

Risk Mgmt

Auto-convene IC within 30 days if: Musk divests >5% personal holdings / xAI losses exceed $15B/yr / second Starship regulatory pause occurs.

4 Hard cap at 10% of alternatives book

Limit

$15M = 10.4% of $144M alt allocation. Do not average up above $1.75T under any scenario. Ceiling holds unless re-rating brings entry below $1.2T.

5 Hedge via public-market satellite basket

Hedge

Small position in Iridium / Viasat / Rocket Lab as partial hedge. If SpaceX thesis re-rates negatively, competitive dynamics lift these names.